

Table 12.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	For downward breakouts, use the lowest price in the wedge as the target. For upward breakouts, use the formation height added to the breakout price. The bottom portion of the table shows how often the measure rule works.
Partial rise and decline	If a stock shows a partial rise and begins to head back toward the lower trendline, consider selling short. A downward breakout should immediately follow a partial rise. For a partial decline, when price begins to turn upward, buy the stock and hope an immediate upward breakout follows. A partial rise works 60% of the time, and a partial decline works 65% of the time.
Busted trade	See Table 12.9 .

Description	Up Breakout	Down Breakout
Pattern bottom	N/A	71%
Percentage reaching half height target	78%	32%
Percentage reaching full height target	61%	17%
Percentage reaching 2× height	43%	5%
Percentage reaching 3× height	31%	2%

For upward breakouts and other downward targets, I use the height of the pattern (or a multiple of it) applied to the top or bottom of the pattern.

[Figure 12.6](#) shows two ascending broadening wedges and application of the measure rule. Both formations are well formed. The chart marks the lowest low in each wedge. The low serves as the expected target (the measure rule target for downward breakouts).

The formation on the left shows price reaching the target in mid-November just as price turns. The wedge shown on the right has price hitting the target soon after the breakout.